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IN THE SUPERIOR COURT OF THE STATE OF ARIZONA
IN AND FOR THE COUNTY OF MARICOPA

STATE OF ARIZONA, ex rel. KRISTIN
K. MAYES, Attorney General of the State
of Arizona,

Plaintiff,

vs.

THE ARIZONA DEPARTMENT OF
ADMINISTRATION, a public entity, and
ELIZABETH ALVARADO-THORSON,
in her official capacity as its Cabinet
Executive Officer & Executive Deputy
Director,

Defendants.

No.

**COMPLAINT FOR EMERGENCY
INJUNCTIVE AND OTHER RELIEF**

The Plaintiff, State of Arizona ex rel. Kris Mayes, Attorney General of the State of
Arizona ("State"), alleges the following:

NATURE OF THE ACTION

1. The State brings this civil action pursuant to Arizona Revised Statutes
("A.R.S.") § 35-212 against the Arizona Department of Administration and Elizabeth
Alvarado-Thorson, in her official capacity as its Cabinet Executive Officer & Executive

1 Deputy Director to enjoin the illegal payment of public monies and/or to recover any public
2 monies that have already been illegally paid.

3 2. More specifically, the State seeks to prevent the diversion of \$115 million
4 from being used for opioid abatement, the purpose for which the funds are specifically
5 required to be used, to the ordinary operating expenses of the Department of Corrections.

6 3. Such a diversion would violate:

- 7 • the carefully crafted national opioid settlements, all of which have
8 been approved by this Court; and
- 9 • the One Arizona Distribution of Opioid Settlement Funds
10 Agreement, agreed to by the State, all 15 counties, and all 91 cities
and towns, which has also been approved by this Court.

11 Importantly, these agreements and court orders require that opioid settlement funds
12 must be used for specified abatement purposes, not for the ordinary operation of
13 government agencies.

14 4. Moreover, key settlement documents, namely Consent Judgments entered
15 into with various settling defendants, charge the Arizona Attorney General with certain
16 responsibilities as to the funds. Namely, she “shall direct how and when the funds paid by
17 Settling Distributors are used, provided that any such uses shall conform to the
18 requirements of [the settlement agreement] and the One Arizona Distribution of Opioid
19 Settlement Funds Agreement.”

20 5. The intent of this abatement requirement was to ensure that, unlike funds
21 from the Tobacco Settlements of the 1990s that were sometimes used to plug budget gaps
22 on uses unrelated to tobacco, the opioid settlement funds were required to be focused on
23 helping address the opioid epidemic sweeping the nation and claiming hundreds of
24 thousands of lives.

6. Those opioid settlement payments have already begun, and they have been put to good use. Details about the settlement funds in Arizona are available online on a website maintained by the Attorney General's Office and available at <https://www.azag.gov/issues/opioids/one-arizona-agreement>:

One Arizona Agreement				
To effectively distribute \$1.14 billion in opioid settlement funds over 18 years, the state, counties, cities and towns reached an agreement to disburse funds based on population and severity of harm.				
• The State will receive 44 percent of the total, \$502 million • The counties will receive 56 percent, or \$639 million, to distribute to the cities and towns within the region				
National Opioid Settlement Projected Totals				
Reflects current totals as of June 30, 2023				
Name Of Settlement	Total Arizona Share	44% State Share	56% Local Share	Years of Payout
Distributors	\$451,066,759.58	\$198,469,374.22	\$252,597,385.36	18
Janssen	\$103,292,344.59	\$45,448,631.62	\$57,843,712.97	10
Mallinckrodt	\$25,769,956.51	\$11,338,780.86	\$14,431,175.64	8
Teva	\$92,991,844.50	\$40,916,411.58	\$52,075,432.92	13
Allergan	\$51,232,770.16	\$22,542,418.87	\$28,690,351.29	7
Walmart	\$64,201,427.97	\$28,248,628.31	\$35,952,799.66	6
CVS	\$113,363,593.06	\$49,879,980.95	\$63,483,612.11	10
Walgreens	\$123,297,961.75	\$54,251,103.17	\$69,046,858.58	15
Endo International plc	\$14,021,221.04	\$6,169,337.26	\$7,851,883.78	10
Purdue Pharma	\$101,556,685.75	\$44,684,941.73	\$56,871,744.02	9
TOTAL	\$1,140,794,564.91	\$501,949,608.56	\$638,844,956.35	

7. The State and its counties, cities, and towns have thus far received over \$100 million in opioid abatement funds. Over the period covered by the settlements, the State and its local governments are scheduled to receive approximately \$1.14 billion dollars in gross settlement funds for the abatement of the opioid epidemic in Arizona.

8. Late on Saturday, June 15, 2024, the Legislature passed the General Appropriations Act: 2024-25, House Bill 2897. Inserted into the bill before it was passed were two provisions, sections 139 and 140, which directed the Department for Administration to transmit \$75,000,000 to the Department of Corrections on June 20, 2024 – that is, the date of this filing – and \$40,000,000 two weeks later on July 3, 2024. These funds, all concede, are funds received from opioid settlements and must be used for opioid abatement.

9. Although the Legislature recited that the funds would be used for opioid abatement, that was plainly false. Caucus minutes and other legislative documents reflect this. For example, this excerpt shows that this was purely a funding shift to balance the budget, not a true change in how the Department of Corrections was addressing the opioid epidemic:

00:51:10.360 -- Chairman, members, this \$40 million and even the 75 really is just a fund sourcing shift in the department.
00:51:17.360 -- We are reducing the general fund and replacing with opioid, so it does not represent any net new resources to the department.
00:51:23.360 -- The concept is really we are spending GF on this issue and we're replacing it with the settlement monies, but it's no net new resources to the department.
00:51:30.360 -- Thank you.
00:51:32.360 -- Representative Austin.

10. Not only does the passage above (and other legislative documents) make clear that this transfer to the Department of Corrections was intended for the “general fund,” the Department of Corrections has no plans in place to use these enormous sums for approved purposes.

11. In this action the State seeks an order immediately enjoining the Arizona Department of Administration from transferring the \$75,000,000 and the \$40,000,000 to the Department of Corrections and setting this matter for a preliminary injunction hearing.

12. In the alternative, in the event the funds have already been transferred to the Department of Corrections, the State seeks an order directing that those funds be restored at once pending further litigation on the merits of the dispute.

PARTIES

13. The State's relator, Kris Mayes, is the Attorney General of the State of Arizona ("Attorney General"). The Attorney General maintains her central office in Maricopa County.

14. The Arizona Department of Administration (“ADOA”) is a public entity of the State of Arizona.

15. Elizabeth Alvarado-Thorson is ADOA's Cabinet Executive Officer & Executive Deputy Director.

JURISDICTION AND VENUE

16. The Attorney General is authorized to bring this action pursuant to A.R.S. § 35-212.

17. This Court has jurisdiction over the subject matter of this action pursuant to A.R.S. § 35-212.

18. This Court has personal jurisdiction in this matter because ADOA is a public entity and Ms. Alvarado-Thorson is a public officer of the State within the meaning of A.R.S. § 12-820, which may be sued in Arizona pursuant to Ariz. R. Civ. P. 4.1(h).

19. Venue is proper in this Court pursuant to A.R.S. § 12-401(7).

BACKGROUND

A. The National Opioid Litigation

20. The American opioid epidemic began in the late 1990s and continues to this day. But only in the 2000s did the key fact about the epidemic emerge. This was not a natural epidemic, but a man-made one. The story of the Sackler brothers, who were the primary agents of this health-care disaster, has become part of the American story. It has been the subject of journalism, books, and even popular television shows.

21. Less well known to the public at large is the extent to which individuals other than the Sacklers, and companies other than Purdue, contributed to the opioid health care crisis. The epidemic could not have become as widespread as it did, or taken as many lives as it did, but for: 1) manufacturers other than Purdue, which marketed their drugs using the Sacklers' playbook; 2) distributors that failed to report grossly excessive opioid shipments to federal authorities, as they were required to do; and 3) pharmacies which turned a blind eye to the excessive use in their communities.

1 22. Litigation to hold the manufacturers, distributors, and pharmacies liable for
2 the harm that they had caused began in the 2000s and steadily grew. In 2017, the bulk of
3 the opioid cases across the country were centralized before a single judge in the Northern
4 District of Ohio (Cleveland) for coordinated proceedings by the Judicial Panel for
5 Multidistrict Litigation.

6 23. The majority of the plaintiffs in the MDL proceeding, and in similar state
7 court actions, were states and local governments: counties, cities, towns, parishes, etc.
8 seeking to recover their damages for the enormous social costs of opioid addiction,
9 including many here in Arizona. For the next six years, the cases were vigorously litigated
10 through motion practice and discovery, and several were tried.

11 **B. The National Opioid Settlements**

12 24. Beginning in 2021, the defendants began to settle, giving rise to numerous
13 National Settlements. The National Settlements are very unusual, perhaps unique in
14 American civil litigation. Given the broad scope of their potential liability, the defendants
15 settled not only with the parties that had sued them, ***but also with state and local***
16 ***governments who had not.*** In other words, any state and almost any local government that
17 wished a share of the proceeds could be included in the National Settlement, as long as it
18 gave the defendant in question a release. Procedurally, the National Settlements are
19 structured in the first instance as a settlement with the state itself, and then, within each
20 state, the state and the local governments agreed on an allocation of the state proceeds.

21 25. To maximize their value in the form of signed releases to Settling
22 Defendants, the National Settlements all incentivize participation: the greater the level of
23 local government participation, the more the settling defendants agreed to ultimately pay
24 for abatement.

1 26. National Settlements of this scope and magnitude do not happen overnight.
2 The extraordinary National Settlements were achieved through many years of intense
3 litigation and negotiations among representatives of the State Attorneys General, the court-
4 appointed Plaintiffs’ Executive Committee and Negotiation Committee, which are
5 comprised of lawyers in the National Prescription Opiate Multidistrict Litigation (MDL)
6 pending in the Northern District of Ohio who represent local governments, including many
7 in Arizona, and counsel to the Settling Defendants. These negotiations were facilitated by
8 Judge Dan Polster (who is in charge of the federal MDL litigation pending in Ohio), by the
9 Special Masters appointed by Judge Polster, and by experienced, neutral mediators.

10 27. The National Settlements reflect the severity of the harms plaintiffs alleged
11 were caused by opioids nationwide, and their legally cognizable impacts on communities.

12 28. As discussed below, a hallmark of the success of the National Settlements in
13 the state of Arizona has been the 100% participation of the local governments to date,
14 thereby maximizing potential recovery to the state of Arizona.

15 29. The first tranche of nationwide settlements resolved all opioid litigation
16 brought by states and local governments against the three largest pharmaceutical
17 distributors, McKesson, Cardinal Health, and AmerisourceBergen (“Distributors”) and
18 almost all against manufacturer Janssen Pharmaceuticals, Inc. and its parent company
19 Johnson & Johnson (collectively, “J&J”). In total, the Distributors committed to pay up to
20 \$21 billion over 18 years, and J&J committed to pay up to an additional \$5 billion over no
21 more than nine years.

22 30. The next tranche of settlements occurred in the final months of 2022:
23 agreements with three major pharmacy chains—CVS, Walgreens, and Walmart—and two
24 additional manufacturers—Allergan and Teva. In January 2023, each of those pharmacy
25

1 chains and manufacturers confirmed that enough states had agreed to the settlements to
2 move forward.

3 31. Assuming maximum participation, the 2022 National Settlements require:

- 4 • Teva to pay up to \$3.34 billion over 13 years and to provide either \$1.2
- 5 billion of its generic version of the drug Narcan over 10 years or \$240
- 6 million of cash in lieu of product, as each state may elect;
- 7 • Allergan to pay up to \$2.02 billion over 7 years;
- 8 • CVS to pay up to \$4.90 billion over 10 years;
- 9 • Walgreens to pay up to \$5.52 billion over 15 years; and
- 10 • Walmart to pay up to \$2.74 billion in 2023, and all payments to be made
- 11 within 6 years.¹

12 32. Moreover, and especially relevant to this Action, under both the 2021 and
13 2022 National Settlements, at least 85% of the funds must be used for abatement of the
14 opioid epidemic, with the majority of the funds restricted to funding *future* abatement
15 efforts by state and local governments. Importantly, for the funds to keep flowing, they
16 must be paid for abatement.

17 33. Each of the National Settlements was entered into by the State of Arizona
18 through a Consent Judgment here in Maricopa County. A list reflecting allowed abatement
19 purposes for Approved Uses of the opioids funds is attached to the Consent Judgments.
20 They are available online at <https://nationalopioidsettlement.com/states/arizona/>.

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22
23
24
25 ¹ These figures include amounts attributable to prior settlements between the Defendants
and certain states/local governments and amounts for attorneys' fees and costs.

1 **C. The Arizona Allocation Agreements**

2 34. Against the backdrop of the negotiations that resulted in the National
3 Settlements, states across the country began to have discussions about how to allocate the
4 potential settlement funds within their state borders.

5 35. In 2019, the Arizona Attorney General’s Office and several Arizona local
6 governments began negotiations regarding the allocation and distribution of potential
7 settlement recoveries if settlements were reached with various defendants in the Opioid
8 litigation, including *In Re: National Prescription Opiate Litigation*, MDL No. 2804 (N.D.
9 Ohio).

10 36. The negotiations culminated in the One Arizona Memorandum of
11 Understanding, a significant milestone and the precursor to the One Arizona Distribution
12 of Opioid Settlement Funds Agreement (“One Arizona”).

13 37. This landmark Agreement, executed by the then-Attorney General of
14 Arizona, all 15 counties, and all 91 cities and towns was designed “to abate and alleviate
15 the impacts of the Pharmaceutical Supply Chain Participants misconduct **throughout** the
16 State of Arizona” and to establish “binding terms for the **distribution and spending** of
17 funds from Settlements with the Pharmaceutical Supply Chain Participants.” Below is
18 some key language from the introduction of One Arizona. The whole document can be
19 found online at: [https://www.azag.gov/sites/default/files/docs/press-releases/2022/
20 settlements/FINAL_ONE_AZ_AGREEMENT.pdf](https://www.azag.gov/sites/default/files/docs/press-releases/2022/settlements/FINAL_ONE_AZ_AGREEMENT.pdf): The “General Principles” motivating
21 it are set out below:

**ONE ARIZONA DISTRIBUTION OF OPIOID SETTLEMENT FUNDS
AGREEMENT**

General Principles

- The people of the State of Arizona and Arizona communities have been harmed by the opioid epidemic, which was caused by entities within the Pharmaceutical Supply Chain.
- The State of Arizona, *ex rel.* Mark Brnovich, Attorney General (the “State”), and certain Participating Local Governments are separately engaged in litigation seeking to hold the Pharmaceutical Supply Chain Participants accountable for the damage they caused.
- The State and the Participating Local Governments share a common desire to abate and alleviate the impacts of the Pharmaceutical Supply Chain Participants’ misconduct throughout the State of Arizona.
- The State and the Participating Local Governments previously entered into the One Arizona Opioid Settlement Memorandum of Understanding for the purpose of jointly approaching Settlement negotiations with the Pharmaceutical Supply Chain Participants.
- The State and the Participating Local Governments now enter into this One Arizona Distribution of Opioid Settlement Funds Agreement (“Agreement”) to establish binding terms for the distribution and spending of funds from Settlements with the Pharmaceutical Supply Chain Participants.

38. A landmark agreement, One Arizona was the third opioid settlement allocation agreement in the nation and the first to restrict more than 90 percent of the opioid settlement funds for Approved Purposes.² This was a significant development because it was the first statewide allocation agreement to be *more* restrictive as to abatement requirements spending than the National Settlements.

39. It was also the first statewide allocation agreement to gain the unanimous approval of all local governments required to participate in the settlements to maximize funds for a given state.

² One Arizona requires at least 92.02% of the total funds to Arizona and its local governments to be used only for Approved Purposes. Prior to One Arizona, the only two states with announced MOU’s were Ohio and Texas. Ohio’s agreement earmarked 55% for remediation. The Texas agreement earmarked 70%.

1 40. In short, it was a model for other states’ intrastate allocation agreements.

2 **D. The Implementation of the Settlements in Arizona**

3 41. To date, the State of Arizona and Arizona local governments have entered
4 into settlements with twelve opioid supply chain defendants: Cencora (f/k/a
5 AmerisourceBergen), Cardinal Health, McKesson, Janssen, Mallinckrodt, Walgreens,
6 Walmart, CVS, Teva, Allergan, Endo, and Purdue Pharma (pending bankruptcy). True and
7 correct copies of all national opioid settlements are available at
8 www.nationalopioidsettlement.com.

9 42. One Arizona is a “State-Subdivision Agreement,” as defined by each
10 National Settlement. State-Subdivision Agreements are integral to each National
11 Settlement because they govern “the allocation, distribution, and/or use of funds allocated
12 to the State and to its Subdivisions.”

13 43. In total, the Arizona Attorney General projects that the State of Arizona and
14 Arizona local governments stand to recover more than \$1.14 billion over 18 years. Per the
15 terms and conditions of One Arizona, the “State Share” of the \$1.14 billion is just over
16 \$500 million. You can see further information on this website that the Arizona Attorney
17 General maintains for public awareness of these issues:
18 <https://www.azag.gov/issues/opioids/one-arizona-agreement>.

19 **E. The 2024–25 Arizona Budget**

20 44. Late on Saturday, June 16, 2024, Arizona lawmakers approved a bipartisan
21 budget compromise to address a \$1.4 billion shortfall.

22 45. Faced with this funding gap, the Legislature developed a plan to use \$115
23 million from the State of Arizona’s share of the National Settlements to help balance the
24 state’s budget by directing the funds to the Arizona Department of Corrections,
25 Rehabilitation and Reentry.

46. Attorney General Kris Mayes said in a statement that this decision put the state’s settlement dollars at risk and that she warned them that doing so is against the letter and spirit of the numerous agreements governing the distribution and allocation of Opioid Settlement funds in the State of Arizona. “This is an egregious grab,” Mayes stated. “I will do everything in my power to protect these opioid settlement funds for all Arizonans.”

COUNT I

Violation of A.R.S. § 35-212
Injunction to Prohibit or Freeze Illegal Payment of Public Funds

47. The State incorporates by this reference the allegations above.

48. The \$75,000,000 and the \$40,000,000 described above (the “Funds at Issue”) are public monies within the meaning of A.R.S. § 35-212.

49. The Funds at Issue were received in settlement of opioid litigation pursuant to national opioid settlements, this Court’s consent decrees, and the One Arizona Distribution of Opioid Settlement Funds Agreement (the “Opioid Settlement Documents”).

50. Pursuant to the Opioid Settlement Documents the Funds at Issue must be used for opioid abatement, with the majority of funds restricted to funding ***future*** abatement.

51. The Funds at Issue were not allocated to the Department for Corrections for opioid abatement but for ordinary purposes.

52. The transfer to the Funds at Issue to the Department of Corrections under these circumstances was illegal within the meaning of A.R.S. § 35-212.

53. To prevent this illegal disposition of public movies, the State seeks, pursuant to A.R.S. § 35-212(A)(1) an emergency injunction, freezing the Funds at Issue until they can be used for legitimate opioid abatement programs and projects.

1 **COUNT II**

2 **Violation of A.R.S. § 35-212**
3 **Recovery of Illegally Paid Public Funds**

4 54. The State incorporates by this reference the allegations above.

5 55. The \$75,000,000 and the \$40,000,000 described above (the “Funds at Issue”)
6 are public monies within the meaning of A.R.S. § 35-212.

7 56. The Funds at Issue were received in settlement of opioid litigation pursuant
8 to national opioid settlements, this Court’s consent decrees, and the One Arizona
9 Distribution of Opioid Settlement Funds Agreement (the “Opioid Settlement Documents”).

10 57. Pursuant to the Opioid Settlement Documents the Funds at Issue must be
11 used for opioid abatement.

12 58. The Funds at Issue were not allocated to the Department for Corrections for
13 opioid abatement but for ordinary purposes.

14 59. To the extent that any of the Funds at Issue have already been transferred to
15 the Department of Corrections that transfer was illegal.

16 60. To recover those illegally paid public monies, the State seeks an order
17 pursuant to A.R.S. § 35-212(A)(2) to recover those funds plus other appropriate relief.

18 **COUNT III**
19 **Violation of Ariz. Const. art. II, § 25**
20 **Impairment of Contract**

21 61. The State incorporates by this reference the allegations above.

22 62. The national opioid settlements and the One Arizona Distribution of Opioid
23 Settlement Funds Agreement are contracts. The parties to the first are the settling
24 defendants and the State of Arizona. The parties to the second are the State of Arizona, the
25 15 counties, and the 91 cities and towns.

63. All of these contracts provide that national opioid funds may only be used for approved abatement purposes, as specified in the documents.

64. To the extent that Sections 139 and 140 of the General Appropriation Act, 2024–2025, House Bill 2897 permit the allocation of national opioid settlement funds for non-abatement purposes, it impairs the parties’ contracts in violation of Article II, Section 25 of the Arizona Constitution and is therefore unconstitutional and unenforceable.

PRAAYER

WHEREFORE the State prays for:

1. An emergency order enjoining the transfer of the Funds at Issue to the Department of Corrections.

2. In the event some or all of the Funds at Issue have already been transferred to the Department of Corrections, an order recovering those funds.

3. Penalties, attorney fees and expenses, taxable costs, pre- and post-judgment interest, and any other relief the Court deems just.

DATED this 20th day of June, 2024.

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